

MARKET ANALYSIS

Intercontinental's \$69.5M Buy Shows Grocery-Anchored Retail Still Commands a Premium for Stability

A fully leased center in suburban Seattle trades at a price that signals debt is available for the right income stream.

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A source-grounded Light Tower Insight. The complete note follows.

A credit committee reviewing a \$69.5 million acquisition of a fully leased grocery-anchored retail center in suburban Seattle would ask one question first: What is the basis, and can the income stream survive a recession?

Intercontinental Real Estate Corp. just answered that question with a purchase that reveals more about the current cost of capital than about any single tenant mix. The Boston-based firm acquired Lakeland Town Center, a 125,233-square-foot property in Auburn, Washington, roughly 20 miles south of Seattle, for \$69.5 million. The center was built in 2002, sits on 12.6 acres within the Lakeland Hills master-planned community, and was fully leased at closing.

The transaction matters because it shows that institutional capital is still willing to underwrite stabilized retail when the income is anchored by necessity-based tenants and the location sits inside a growing residential catchment. But the price also forces a question: At what cap rate does this deal pencil, and what does that cap rate imply about the debt market's view of retail risk?

Reported facts are thin on underwriting details. No cap rate, loan amount, or seller identity was disclosed. The property's tenant roster, however, provides the raw material for inference. The anchor is Haggen Northwest Fresh, a regional grocery chain with a defensible market position in the Pacific Northwest. The inline tenants are a mix of quick-service restaurants, medical services, fitness, and personal care: Subway, HopsnDrops, Rock Wood Fired Pizza, Puerto Vallarta Mexican, Sushi Konami, Ichi Teriyaki, Legendary Doughnuts, Nekter Juice Bar, Menchie's Frozen Yogurt, Pacific Cataract and Laser Institute, Gentle Dental, Outpatient Physical Therapy, Edward Jones, McDonald's, Wells Fargo, The UPS Store, Orangetheory Fitness, and Club Pilates.

That tenant list is not a collection of high-growth concepts. It is a portfolio of recession-resistant, everyday-demand businesses. Grocery, quick-service food, medical, dental, fitness, and financial services are categories that tend to hold occupancy through downturns. The presence of a bank branch and a UPS Store adds a layer of essential-service tenancy that lenders underwrite as sticky.

For a lender evaluating this deal, the risk allocation is straightforward. The income stream is diversified across 19 tenants, none of which appears to be a single-tenant concentration risk beyond

the grocery anchor. The grocery anchor itself is a regional operator, not a national chain, which introduces some sponsor-specific risk but also means the lease terms likely reflect local market conditions rather than corporate real estate strategy.

The capital improvement program Intercontinental plans to execute is also instructive. Roof replacement and as-needed tenant upgrades are maintenance capital, not repositioning capital. The buyer is not trying to change the asset's fundamental use or tenant profile. It is preserving the existing income stream and extending the physical life of the building. That is a low-risk, low-return strategy that works when the basis is right and the debt is cheap enough.

The question is whether the debt is cheap enough at current rates. A 125,233-square-foot center trading for \$69.5 million implies a price per square foot of approximately \$555. For a 2002-vintage grocery-anchored center in a secondary Seattle suburb, that is a premium price that suggests the seller extracted full value for the lease-up risk that has already been resolved. A lender underwriting this deal would need to see a debt yield comfortably above 10 percent to justify the basis, which implies net operating income of roughly \$7 million or more. That is a high bar for a center of this size and tenant mix, even with full occupancy.

The cast of parties in this transaction reveals the current market structure. The seller, represented by JLL Capital Markets, was willing to exit a fully leased asset at a price that reflects peak occupancy. The buyer, Intercontinental, is a private real estate investment firm with a long hold period and a tolerance for lower current returns in exchange for stability. The lender, if any, is not named, but the deal's structure suggests that debt was available at terms that made the math work for a buyer with a credible operating plan.

The broader pattern is clear. Capital is not avoiding retail. It is concentrating around assets where the income is predictable, the tenant base is necessity-driven, and the location benefits from population growth. Auburn is part of the Seattle metropolitan area, which continues to add residents and jobs, particularly in the South Sound corridor. A grocery-anchored center in a master-planned community with full occupancy is exactly the kind of asset that attracts institutional capital when the alternative is

office or unanchored strip centers with leasing risk.

The constraint that changed in this deal is the seller's willingness to sell. A fully leased, grocery-anchored retail center in a growing market is not a distressed asset. The seller likely had multiple options: refinance, hold, or sell. The decision to sell suggests that the seller saw more value in liquidity at this price than in continuing to collect the income stream. That is a signal that the bid-ask spread for stabilized retail has narrowed enough to clear transactions, but only for assets that meet a high bar for occupancy, tenant quality, and location.

What should market participants test next? Owners of similar assets should watch whether this trade establishes a comp that raises expectations for their own properties. Lenders should examine the underwriting assumptions behind this price and ask whether the same terms would apply to a center with 90 percent occupancy or a weaker tenant mix. Buyers should ask whether the basis leaves enough room for a rate shock or a recession that compresses tenant sales.

The deal is not proof that retail is back. It is proof that the right retail, at the right basis, with the right income stream, can still command institutional capital. That is a narrower statement than the headline suggests, but it is the one that matters for anyone trying to price risk in this market.

SOURCES

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<https://rebusinessonline.com/intercontinental-real-estate-acquires-lakeland-town-center-in-metro-seattle-for-69-5m/>

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